

**SUBSTITUTE FOR
HOUSE BILL NO. 5100**

A bill to amend 2008 PA 554, entitled
"Regional convention facility authority act,"
by amending section 11 (MCL 141.1361), as amended by 2009 PA 63.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 11. (1) ~~Within not more~~ **Not later** than 30 days following
2 **after** appointment of the members of a board, the board shall hold
3 its first meeting at a date and time determined by the individual
4 appointed under section 9(1)(a). The board members shall elect from
5 among the board members an individual to serve as chairperson of
6 the board and may elect other officers as the board considers
7 necessary. All officers ~~shall~~ **must** be elected annually by the
8 board. All actions of the board under this act ~~shall~~ require the
9 unanimous consent of all serving members of the board. ~~excluding~~



1 ~~any members prohibited from voting on an action due to a conflict~~
 2 ~~of interest under section 15.~~ **A vote in favor of an action of the**
 3 **board by an alternate acting under subsection (13) is considered**
 4 **the consent of a serving member for purposes of this subsection.**

5 (2) The business of the board ~~shall~~**must** be conducted at a
 6 public meeting of the board held in compliance with the open
 7 meetings act, 1976 PA 267, MCL 15.261 to 15.275. Public notice of
 8 the time, date, and place of the meeting ~~shall~~**must** be given in the
 9 manner required by the open meetings act, 1976 PA 267, MCL 15.261
 10 to 15.275. A board shall adopt bylaws consistent with the open
 11 meetings act, 1976 PA 267, MCL 15.261 to 15.275, governing its
 12 procedures and the holding of meetings. After organization, a board
 13 shall adopt a schedule of regular meetings and adopt a regular
 14 meeting date, place, and time. A special meeting of the board may
 15 be called by the chairperson of the board or as provided in bylaws
 16 adopted by the board. Notice of a special meeting ~~shall~~**must** be
 17 given in the manner required by the open meetings act, 1976 PA 267,
 18 MCL 15.261 to 15.275.

19 (3) A board shall keep a written or printed record of each
 20 meeting. ~~, which~~**The** record and any other document or record
 21 prepared, owned, used, in the possession of, or retained by the
 22 authority in the performance of an official function ~~shall~~**must** be
 23 made available to the public in compliance with the freedom of
 24 information act, 1976 PA 442, MCL 15.231 to 15.246.

25 (4) A board shall provide for a system of accounts for the
 26 authority to conform to a uniform system required by law and for
 27 the auditing of the accounts of an authority. The board shall
 28 obtain an annual audit of the authority by an independent certified
 29 public accountant and report on the audit and auditing procedures



1 in the manner provided by sections 6 to 13 of the uniform budgeting
2 and accounting act, 1968 PA 2, MCL 141.426 to 141.433. The audit
3 also ~~shall~~**must** be in accordance with generally accepted government
4 auditing standards and ~~shall~~**must** satisfy federal regulations
5 relating to federal grant compliance audit requirements.

6 (5) Before the beginning of each fiscal year, a board shall
7 cause to be prepared a budget for the authority containing an
8 itemized statement of the estimated current operational expenses
9 and the expenses for capital outlay including funds for the
10 operation and development of convention facilities under the
11 jurisdiction of the board, including the amount necessary to pay
12 the principal and interest of any outstanding bonds or other
13 obligations of the authority maturing during the next fiscal year
14 or that have previously matured and are unpaid, and an estimate of
15 the estimated revenue of the authority from all sources for the
16 next fiscal year. The board shall adopt a budget as for the fiscal
17 year in accordance with the uniform budget and accounting act, 1968
18 PA 2, MCL 141.421 to 141.440a.

19 (6) **The board shall, by resolution, establish and maintain a**
20 **reserve fund for any purposes authorized by law, including to**
21 **address prior fiscal year shortfalls in distributions under section**
22 **10(2) of the state convention facility development act, 1985 PA**
23 **106, MCL 207.630, in the order of priority set forth in section**
24 **10(2) of the state convention facility development act, 1985 PA**
25 **106, MCL 207.630. The reserve fund may be funded from distributions**
26 **to the authority from the convention facility development fund**
27 **created in section 8 of the state convention facility development**
28 **act, 1985 PA 106, MCL 207.628, and from any other revenues of the**
29 **authority permitted by law. The reserve fund shall be separate from**



1 and shall not be pledged as, or constitute, any debt service
2 reserve fund established under an indenture or other agreement for
3 authority indebtedness, and shall not be maintained in a manner
4 that conflicts with the authority's covenants or obligations
5 related to such indebtedness. The board shall designate an
6 investment fiduciary for the reserve fund and adopt an investment
7 policy for the reserve fund consistent with subsection (5).

8 (7) ~~(6)~~—A board shall provide for the purchase of, the
9 contracting for, and the providing of supplies, materials,
10 services, insurance, utilities, third-party financing, equipment,
11 printing, and all other items as needed by the authority to
12 efficiently and effectively meet the needs of the authority using
13 competitive procurement methods to secure the best value for the
14 authority. The board shall make all discretionary decisions
15 concerning the solicitation, award, amendment, cancellation, and
16 appeal of authority contracts. A board shall provide for the
17 acquisition of professional services, including, but not limited
18 to, architectural services, engineering services, surveying
19 services, accounting services, services related to the issuance of
20 bonds, and legal services, in accordance with a competitive,
21 qualifications-based selection process and procedure for the type
22 of professional service required by the authority. An authority is
23 not required to use competitive bidding when acquiring proprietary
24 services, equipment, or information available from a single source,
25 such as a software license agreement. An authority may enter into a
26 cooperative purchasing agreement with the federal government, this
27 state, or other public entities for the purchase of goods or
28 services necessary for the authority. An authority may enter into
29 lease purchases or installment purchases for periods not exceeding



1 the anticipated useful life of the items purchased unless otherwise
 2 prohibited by law. In all purchases made by the authority, all
 3 other things being equal, preference ~~shall~~**must** be given first to
 4 products manufactured or services offered by firms based in the
 5 authority's qualified metropolitan area, including, but not limited
 6 to, the qualified city and each county in the qualified
 7 metropolitan area, and next to firms based in this state, if
 8 consistent with applicable law. The authority shall actively
 9 solicit lists of potential bidders for authority contracts from
 10 each qualified city and each county in the qualified metropolitan
 11 area. Except as otherwise provided in this section, the authority
 12 shall utilize competitive solicitation for all purchases authorized
 13 under this act unless 1 or more of the following apply:

14 (a) Procurement of goods or services is necessary for the
 15 imminent protection of public health or safety or to mitigate an
 16 imminent threat to public health or safety, as determined by the
 17 authority or its chief executive officer.

18 (b) Procurement of goods or services is for emergency repair
 19 or construction caused by unforeseen circumstances when the repair
 20 or construction is necessary to protect life or property.

21 (c) Procurement of goods or services is in response to a
 22 declared state of emergency or state of disaster under the
 23 emergency management act, 1976 PA 390, MCL 30.401 to 30.421.

24 ~~(d) Procurement of goods or services is in response to a~~
 25 ~~declared state of emergency under 1945 PA 302, MCL 10.31 to 10.33.~~

26 **(d)** ~~(e)~~ Procurement of goods or services is in response to a
 27 declared state of energy emergency under 1982 PA 191, MCL 10.81 to
 28 10.89.

29 **(e)** ~~(f)~~ Procurement of goods or services is under a



1 cooperative purchasing agreement with the federal government, this
2 state, or more public entities for the purchase of goods and
3 services necessary at fair and reasonable prices using a
4 competitive procurement method for authority operations.

5 (f) ~~(g)~~—The value of the procurement is less than \$5,000.00,
6 and the board has established policies or procedures to ensure that
7 goods or services with a value of less than \$5,000.00 are purchased
8 by the board at fair and reasonable prices. Procurement of goods or
9 services with a value of less than \$5,000.00 may be negotiated with
10 or without using competitive bidding as authorized in a procurement
11 policy adopted by the board.

12 (8) ~~(7)~~—A board may not enter into any cost plus construction
13 contract unless all of the following apply:

14 (a) The contract cost is less than \$50,000.00.

15 (b) The contract is for emergency repair or construction
16 caused by unforeseen circumstances.

17 (c) The repair or construction is necessary to protect life or
18 property.

19 (d) The contract complies with requirements of applicable
20 state or federal law.

21 (9) ~~(8)~~—The board shall adopt a procurement policy consistent
22 with the requirements of this act and federal and state laws
23 relating to procurement. The procurement policy ~~shall~~**must** include
24 a requirement for the authority to use its best efforts within the
25 competitive solicitation requirements of this section to achieve
26 fairness in the number and value of contracts for goods or services
27 entered into by the authority with firms based in the qualified
28 city and each county within the qualified metropolitan area,
29 consistent with applicable law. The board shall adopt a policy to



1 govern the control, supervision, management, and oversight of each
2 contract to which the authority is a party. The board shall adopt
3 procedures to monitor the performance of each contract including,
4 but not limited to, a contract that exists on the transfer date, to
5 assure execution of the contract within the budget and time periods
6 provided under the contract. The monitoring ~~shall~~**must** include
7 oversight as to whether the contract is being performed in
8 compliance with the terms of the contract, this act, and federal
9 and state law procurement law. The chief executive officer or other
10 authorized employee of an authority shall not sign or execute a
11 contract until the contract is approved by the board. A board for
12 an authority shall establish policies to ensure that the authority
13 does not enter into a procurement or employment contract with a
14 person who has been convicted of a criminal offense incident to the
15 application for or performance of a contract or subcontract with a
16 governmental entity in this state. A board for an authority shall
17 establish policies to ensure that the authority does not enter into
18 a procurement or employment contract with a person who has been
19 convicted of a criminal offense, or held liable in a civil
20 proceeding, that negatively reflects on the person's business
21 integrity, based on a finding of embezzlement, theft, forgery,
22 bribery, falsification or destruction of records, receiving stolen
23 property, or violation of state or federal antitrust statutes, or
24 similar laws. The authority shall prepare an annual report to the
25 board, the qualified city, and each county within the qualified
26 metropolitan area detailing all contracts entered into by the
27 authority during the immediately preceding fiscal year. As used in
28 this subsection, if a person is a business entity, person includes
29 affiliates, subsidiaries, officers, directors, managerial



employees, and any person who, directly or indirectly, holds a pecuniary interest in that business entity of 20% or more. Nothing in this subsection ~~shall~~**must** be construed as creating a quota or set-aside for any qualified city or any county in the qualified metropolitan area.

(10) ~~(9)~~—A board may employ personnel as the board considers necessary to assist the board in performing the power, duties, and jurisdictions of the authority, including, but not limited to, employment of a chief executive officer as authorized under section 13. The board shall adopt an employment policy that includes a requirement for the authority to use best efforts to achieve fairness in the hiring of employees from among residents of the qualified city and each county within the qualified metropolitan area, consistent with applicable law. Nothing in this subsection ~~shall~~**must** be construed as creating a quota or set-aside for any qualified city or any county in the qualified metropolitan area.

(11) ~~(10)~~—A board shall establish policies to assure that the board and the authority ~~shall~~**do** not do either of the following:

(a) Fail or refuse to hire, recruit, or promote; demote; discharge; or otherwise discriminate against a person with respect to employment, compensation, or a term, condition, or privilege of employment, or a contract with the authority because of religion, race, color, national origin, age, sex, sexual orientation, height, weight, marital status, partisan considerations, or a disability or genetic information that is unrelated to the person's ability to perform the duties of a particular job, position, or contract.

(b) Limit, segregate, or classify an employee, a contractor, or applicant for employment or a contract in a way that deprives or tends to deprive the employee, contractor, or applicant of an



1 employment opportunity or otherwise adversely affects the status of
 2 an employee, contractor, or applicant because of religion, race,
 3 color, national origin, age, sex, sexual orientation, height,
 4 weight, marital status, partisan considerations, or a disability or
 5 genetic information that is unrelated to the person's ability to
 6 perform the duties of a particular job or position.

7 **(12)** ~~(11)~~ Not less than 60 days after the transfer date, an
 8 authority shall establish a citizens advisory council to provide
 9 public input and advise the board on the impact of redevelopment
 10 and management of a qualified convention facility upon the
 11 qualified city and each county within the qualified metropolitan
 12 area. The advisory council shall consist of 8 members, including 1
 13 resident of the qualified city appointed by the local chief
 14 executive officer of the qualified city, 1 resident of the
 15 qualified city appointed by the legislative body of the qualified
 16 city, 1 county resident appointed as a council member by each local
 17 chief executive officer for each county within the qualified
 18 metropolitan area, and 1 county resident appointed as a council
 19 member by the legislative body for each county within the qualified
 20 metropolitan area. An elected state or local official is not
 21 eligible to serve as a member of the citizens advisory council.
 22 Members of the advisory council shall be appointed for terms of 4
 23 years. A vacancy on the advisory council arising other than by
 24 expiration of a term shall be filled for the remainder of a term in
 25 the same manner as the original appointment. The business of the
 26 advisory council ~~shall~~**must** be conducted at a public meeting held
 27 in compliance with the open meetings act, 1976 PA 267, MCL 15.261
 28 to 15.275. Public notice of the time, date, and place of the
 29 meeting ~~shall~~**must** be given in the manner required by the open



meetings act, 1976 PA 267, MCL 15.261 to 15.275. The advisory council shall adopt bylaws consistent with the open meetings act, 1976 PA 267, MCL 15.261 to 15.275, governing its procedures and the holding of meetings. After organization, the advisory council shall adopt a schedule of regular meetings and adopt a regular meeting date, place, and time. The advisory council shall keep a written or printed record of each meeting, which record and any other document or record prepared, owned, used, in the possession of, or retained by the advisory council in the performance of an official function ~~shall-must~~ be made available to the public in compliance with the freedom of information act, 1976 PA 442, MCL 15.231 to 15.246. An advisory council shall organize and make its own policies and procedures and shall adopt bylaws not inconsistent with this act governing its operations. The advisory council may request and ~~shall-must~~ receive from the authority information and technical assistance relating to the development and management of the qualified convention facility. Failure of the advisory council to organize, meet, or perform statutory functions ~~shall~~-does not prevent the board or the authority from performing authorized activities. A member of the citizens advisory council ~~shall-must~~ not be compensated for being a member, ~~nor shall~~-and a member **must not** be reimbursed for any expenses incurred as a member of the citizens advisory council.

(13) The appointing authority for a board member described in section 9(1) may appoint an alternate for that board member in the same manner as the appointment of the board member. An alternate may serve as a member of the board in the absence of the board member if the board member will be unable to attend 1 or more meetings or for the purpose of reaching a decision on a matter on



1 which the board member is prohibited from voting due to a conflict
2 of interest under section 15. An alternate serving under this
3 subsection has the same powers, duties, and protections as the
4 board member for whom the alternate is serving and shall serve only
5 for the period of the absence or disqualification.